INTRODUCTION

The objective of this reading is to provide candidates with an orientation to the GIPS standards. It explains why the GIPS standards were created, who can claim compliance, and who benefits from compliance. It also covers key concepts of the GIPS standards—composites, the definition of the firm, and the definition of investment discretion. Finally, the reading briefly discusses the purpose and benefits of verification. Upon completion of this reading, candidates should appreciate the benefits of an industry-wide set of standards for calculating and presenting investment performance based on the principles of fair representation and full disclosure.

The 2020 edition of the GIPS standards has three chapters:

1. GIPS Standards for Firms
2. GIPS Standards for Asset Owners
3. GIPS Standards for Verifiers

Organizations that compete for business must comply with the GIPS Standards for Firms.

Candidates are also responsible for reading the sections of the GIPS Standards for Firms specifically referenced in this reading. A complete copy of the 2020 GIPS Standards for Firms can be found here: https://www.cfainstitute.org/en/ethics/codes/gips-standards/firms.

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Practice
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Discussions
Search

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